

25TRCV01816 25TRCV01816

County: los-angeles

Division: Civil Law and Motion

Department: E

Hearing date: 2026-08-06

Source URL:

https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=SBA%2CE%2C08%2F06%2F2026

Source SHA-256: e0fcd4471fd9712a6d1ec1533edf576cd6437d7c97dfab7ec79d33644bbe9227

Case Number: 25TRCV01816 Hearing Date: August 6, 2026 Dept: E

Superior Court of California

County of Los Angeles

Southwest District

Torrance Dept. E

JONATHAN

EDGAR; and ALLISON EDGAR,

Plaintiffs,

Case No.:

25TRCV01816

vs.

[Tentative]

Overruled/denied

VERITAS

GLOBAL PROTECTION SERVICES, INC. d/b/a VERITAS GLOBAL INSURANCE SERVICES,
INC.; RED AUTO ADMINISTRATION, INC. d/b/a/ RED AUTO ADMINISTRATION INSURANCE
AGENCY INC; WESCO INSURANCE COMPANY; NORTHCOAST WARRANTY SERVICES, INC

Defendants.

Hearing

Date: August
6, 2026

Moving Parties: Defendants Veritas Global Protection
Services, Inc., Red Auto Administration, Inc., Wesco Insurance Company, and
Northcoast Warranty Services, Inc

Responding Party: Plaintiffs Jonathan and Allison Edgar

HEARING: Demurrer and Motion to
Strike

The Court considered the moving,
opposition, and reply papers.

RULING

The Court
overrules the Demurrer.

The Court denies the
Motion to Strike.

BACKGROUND

On June
3, 2025, Plaintiffs Jonathan and Allison Edgar filed the Complaint against Veritas
Global Protection Services, Inc. d/b/a Veritas Global Insurance Services Inc., RED
Auto Administration, Inc. d/b/a RED Auto Administration Insurance Agency Inc., Wesco
Insurance Company, and Northcoast
Warranty Services, Inc., alleging causes of action for violations of the CLRA,
breach of contract, violation of Business and Professions Code section 17200,
and breach of the implied covenant of good faith and fair dealing.

On September 15, 2026,
Plaintiff filed the FAC.

On April 17, 2026,

Plaintiff filed the SAC.

On June 18, 2026,
Defendants filed the Demurrer.

On June 25, 2026,
Defendants filed the Motion to Strike.

On July 24, 2026,
Plaintiff filed the Opposition.

On July 30, 2026,
Defendant filed the Reply.

JUDICIAL NOTICE

The Court may take judicial notice of records
of (1) any court of this state or (2) any court of record of the United States
or of any state of the United States. (Evid. Code § 452 subd. (d).) The Court
may also take judicial notice of “Official acts of the legislative, executive,
and judicial departments of the United States and of any state of the United
States.” (Evid. Code § 452 subd. (c).)

Plaintiff requests that
the Court take judicial notice of the Court’s February 18,

2021 Minute Order in the matter of Alex Romiti v. 5 Star Auto Group, A
Corporation, et al., Docket No. 20STCV24772.

The Court grants this
request pursuant to Evidence Code Section 452 subdivision (d).

LEGAL STANDARD

A demurrer can be
used only to challenge defects that appear on the face of the pleading under
attack or from matters outside the pleading that are judicially noticeable. (Blank
v. Kirwan (1985) 39 Cal.3d 311, 318.) “To survive a demurrer, the complaint
need only allege facts sufficient to state a cause of action; each evidentiary

fact that might eventually form part of the plaintiff's proof need not be alleged." (C.A. v. William S. Hart Union High School Dist. (2012)

53 Cal.4th 861, 872.) For the purpose of testing the sufficiency of the cause of action, the demurrer admits the truth of all material facts properly pleaded. (Aubry v. Tri-City Hospital Dist. (1992) 2 Cal.4th 962, 966-967.) A demurrer "does not admit contentions, deductions or conclusions of fact or law." (Daar v. Yellow Cab Co. (1967) 67 Cal.2d 695, 713.)

A pleading is uncertain if it is ambiguous or unintelligible. (Code Civ. Proc., § 430.10, subd. (f).) A demurrer for uncertainty may lie if the failure to label the parties and claims renders the complaint so confusing defendant cannot tell what he or she is supposed to respond to. (Williams v. Beechnut Nutrition Corp. (1986) 185 Cal.App.3d 135, 139, fn. 2.) However, "[a] demurrer for uncertainty is strictly construed, even where a complaint is in some respects uncertain, because ambiguities can be clarified under modern discovery procedures." (Khoury v. Maly's of California, Inc. (1993) 14 Cal.App.4th 612, 616.)

DISCUSSION

Defendants demur to the first, second, fourth, and sixth causes of action.

Cause of Action 1 and 2 – Fraud and Violation of the CLRA

"The elements of fraud, which give rise to the tort action for deceit, are (1) a misrepresentation, (2) with knowledge of its falsity, (3) with the intent to induce another's reliance on the misrepresentation, (4) justifiable reliance, and (5) resulting damage." (Conroy v. Regents of Univ. of Cal. (2009) 45 Cal.4th 1244, 1255.) Misrepresentation claims under the CLRA require, at a minimum, a misrepresentation and reliance on the misrepresentation. (Cohen v. DIRECTV, Inc. (2009) 178 Cal. App. 4th 966, 980.)

In Lazar v.

Superior Court (1996) 12 Cal.4th 631, the Court found that "fraud must be pled specifically; general and conclusory allegations do not suffice" and that

“this particularity requirement necessitates pleading facts which show how, when, where, to whom, and by what means the representations were tendered.” (Lazar, supra, 12 Cal.4th 631, 645.)

In its ruling on the FAC, the Court found that the FAC alleged that the misrepresentation was made by the dealer, not anyone associated with Defendants. (FAC ¶ 44.)(1]

Here, the SAC alleges that the contract entered into by Plaintiffs and Defendants included misrepresentations, i.e., that Defendants would cover the cost of repairs under the Contract, when they had no intention of doing so. (SAC ¶¶ 17, 21-25, 57.) Furthermore, as the signed and dated contract has been attached to the SAC, the Court finds that it alleges the how, when, where, to whom, and by what requirements of a fraud pleading with particularity. Thus, as alleged misrepresentations occur in the contract, Defendants' arguments regarding the dealer and agency are immaterial. Furthermore, as the SAC alleges that Plaintiffs would not have purchased the car but for the misrepresentation, the SAC alleges both causation and reliance. (SAC ¶ 27.) Consequently, the Court finds that the fraud and CLRA causes of action are adequately pleaded.

Therefore, the Court overrules the Demurrer as to the first and second causes of action.

Cause of Action 4 – Violation of Business and Professions Code § 17200

Business and

Professions Code section 17200 prohibits “any unlawful, unfair or fraudulent business act or practice.” (Bus. & Prof. Code § 17200; see Clark v. Superior Court (2010) 50 Cal.4th 605, 610.) A violation of other laws is deemed independently actionable under the UCL. (See Law Offices of Mathew Higbee v. Expungement Assistance Services (2013) 214 Cal.App.4th 544, 554.) “Virtually any law, federal, state or local, can serve as a predicate for a section 17200 action.” (Id. (quoting Troyk v. Farmers Group, Inc. (2009) 171 Cal.App.4th 1305, 1335).) To establish a fraudulent practice under the UCL, the plaintiff must show that members of the public are likely to be deceived. (See West v. JP Morgan Chase Bank, N.A. (2013) 214 Cal.App.4th 780, 806.) “A business practice is unfair within the meaning of the

UCL if it violates established public policy or if it is immoral, unethical, oppressive or unscrupulous and causes injury to consumers which outweighs its benefits." (McKell v. Washington Mutual, Inc. (2006) 142 Cal.App.4th 1457, 1473.) Further, statutory claims must be pled with particularity. (Carter v. Prime Healthcare Paradise Valley LLC (2011) 198 Cal.App.4th 396, 410.)

In its ruling on the FAC, the Court found that the FAC had not adequately alleged any unlawful, unfair, or fraudulent business act or practice based on the sustaining of the Demurrer as to the fraud and CLRA claims.

Here, the Court has overruled the demurrer as to the fraud and CLRA claims; thus, the Court finds that the SAC alleges fraudulent and unfair business practices.

Therefore, the Court overrules the Demurrer as to the fourth cause of action.

Cause of Action 6 – Conspiracy

"The elements of an action for civil conspiracy are the formation and operation of the conspiracy and damage resulting to plaintiff from an act or acts done in furtherance of the common design.... In such an action the major significance of the conspiracy lies in the fact that it renders each participant in the wrongful act responsible as a joint tortfeasor for all damages ensuing from the wrong, irrespective of whether or not he was a direct actor and regardless of the degree of his activity." (Doctors' Co. v. Superior Court (1989) 49 Cal.3d 39, 44.)

Last, Defendants' argument regarding the conspiracy cause of action is based on their arguments to the first and second causes of action. As those arguments failed, the demurrer to the cause of action for conspiracy must also fail.

Therefore, the Court overrules the Demurrer as to the sixth cause of action.

Motion to Strike

California law

authorizes a party's motion to strike a matter from an opposing party's pleading if it is irrelevant, false, or improper. (Code Civ. Proc., §§ 435; 436 subd. (a).) Motions may also target pleadings or parts of pleadings that are not filed or drawn in conformity with applicable laws, rules, or orders. (Code Civ. Proc., § 436 subd. (b).) A motion to strike is used to address defects that appear on the face of a pleading or from a judicially noticed matter but that are not grounds for a demurrer. (Pierson v Sharp Memorial Hospital (1989) 216 Cal.App.3d 340, 342; see also City & County of San Francisco v Strahlendorf (1992) 7 Cal.App.4th 1911, 1913 (motion may not be based on a party's declaration or factual representations made by counsel in the motion papers).) In particular, a motion to strike can be used to attack the entire pleading or any part thereof – in other words, a motion may target single words or phrases, unlike demurrers. (Warren v. Atchison, Topeka & Santa Fe Railway Co. (1971) 19 Cal.App.3d 24, 40.) California's policy of liberal construction applies to motions to strike. (Code Civ. Proc., § 452; see also Duffy v. Campbell (1967) 250 Cal.App.2d 662, 666 (noting that courts must resolve all reasonable doubts in favor of the pleading when considering a motion to strike).) The Code of Civil Procedure also authorizes the Court to act on its own initiative to strike matters, empowering the Court to enter orders striking matter "at any time in its discretion, and upon terms it deems proper." (Code Civ. Proc., § 436.)

Punitive

Damages

"In

order to survive a motion to strike an allegation of punitive damages, the ultimate facts showing an entitlement to such relief must be pled by a plaintiff." (Clauson v. Superior Court (1998) 67 Cal.App.4th 1253, 1255.) A request for punitive damages may be made pursuant to Civil Code section 3294 subdivision (a), which provides that "[i]n an action for the breach of an obligation not arising from contract, where it is proven by clear and convincing evidence that the defendant has been guilty of oppression, fraud, or malice, the plaintiff, in addition to the actual damages, may recover damages for the sake of example and by way of punishing the defendant." (Civil Code § 3294 subd. (a).)

Under

the statute, malice is defined as "conduct which is intended by the defendant

to cause injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others," and oppression is defined as "despicable conduct that subjects a person to cruel and unjust hardship in conscious disregard of that person's rights." (Code Civ. Proc. § 3294(c)(1), (c)(2).) Although not defined by the statute, despicable conduct refers to circumstances that are base, vile, or contemptible. (*College Hospital, Inc. v. Superior Court* (1994) 8 Cal.4th 704, 725.) Also, "[u]nder the statute, malice does not require actual intent to harm...Conscious disregard for the safety of another may be sufficient where the defendant is aware of the probable dangerous consequences of his or her conduct and he or she willfully fails to avoid such consequences.... [Citation.]" (*Pfeifer v. John Crane, Inc.* (2013) 220 Cal.App.4th 1270, 1299.)

Defendants

request that the Court strike the request for punitive damages.

"An employer shall not be liable for damages pursuant to subdivision (a), based upon acts of an employee of the employer, unless the employer had advance knowledge of the unfitness of the employee and employed him or her with a conscious disregard of the rights or safety of others or authorized or ratified the wrongful conduct for which the damages are awarded or was personally guilty of oppression, fraud, or malice. With respect to a corporate employer, the advance knowledge and conscious disregard, authorization, ratification or act of oppression, fraud, or malice must be on the part of an officer, director, or managing agent of the corporation." (Civ. Code § 3294 subd. (b).)

Here, the Court has found that the SAC alleges fraud. Thus, the only remaining question before the Court is whether the punitive damages claim satisfies Civil Code § 3294. The SAC alleges that "Defendants' conduct was undertaken and/or ratified by the Defendants' officers, directors, and/or managing agents who were responsible for claims supervision, handling, underwriting, communications, and/or decisions of the Defendants." (SAC ¶ 98.) While this paragraph on its own sounds conclusive, paragraphs 12 and 42 identify a customer service manager as the managing agent who authorized the alleged pretextual denial of the claim. (SAC ¶ 12 and 41.) Thus, the Court finds that Plaintiff has alleged ratification.

Therefore, the Court denies the Motion to Strike.

[1]

The Demurrer to the FAC was not opposed.